

derivative indexes in which it is included, and tranches on those indexes. One might see different levels of implied risk for a country in its native interest rates, currency forwards, local debt, and external debt.

An important part of modern security analysis is trying to figure out which of these factors are transitory and which are permanent. Are there catalysts that will cause the price to converge? How long will it take? How much capital will it use up? How does this dislocation compare to others happening at the same time? How is it correlated with those dislocations?

FINAL THOUGHTS

Graham and Dodd's enduring insight is that all good investment practice is based on doing detailed bottoms-up work. Investing requires thoroughly understanding the contractual relationships that govern a security and the real-life factors that are involved in enforcing contractual obligations should the need arise. All investment finance turns on accurately modeling the cash flows, determining an appropriate discount rate, and assessing the likelihood that you get them! The stark reality that markets are not efficient—and highly unlikely ever to be so—instructs us to focus our time and allocate our capital to those situations where we see the greatest dislocation between price and value. At the same time, we need to keep a clear eye on the unexpected, the real-life vicissitudes that turn potential opportunities into traps. We need catalysts to force prices to converge to value; while we are waiting for those catalysts, the capabilities and character of management are very important. Whether you are thinking of investing in uncorrelated arbitrages or buying the cheapest security of a quality company, Graham and Dodd's work exhorts us to read the documents, understand the structures, model the cash flows with precision, and in a modern world, use our computational power to think probabilistically.

See Chapter 46, "Stock-Option Warrants" online at www.mhprofessional.com/SecurityAnalysis7.